FMKT 256 · AI EXTRA CREDIT · OPTION 2

U.S. Airlines: One-Pagers and Long/Short Call

9 companies · AI-written one-pagers on live market data · Report generated November 03, 2026 03:55 AM

Andrew Jaynes · Ryan Readlinger · Finn Kelly

BEST LONG

SKYW

SkyWest, Inc. · composite rank 2 of 9

Fuel-insulated earnings at the sector's lowest multiple

SkyWest is the one airline whose business model is built to withstand 2026's defining risk: a near-doubling of jet fuel. Its capacity-purchase contracts pass most fuel cost to United, Delta, American and Alaska, so it grew EPS while the majors guided sharply lower. Yet it is the cheapest stock in the group.

BEST SHORT

JBLU

JetBlue Airways Corporation · composite rank 9 of 9

Widening losses on a balance sheet with no fuel cushion

JetBlue ranks last on the quantitative screen and the fundamentals confirm it. Revenue grew 21% in Q3 yet the net loss nearly doubled, and roughly $8.4B of debt sits on a ~$1.2B equity value. If fuel stays near Q4's $4.64/gal assumption, more losses and likely dilution follow.

Pair trade: Long SKYW / short JBLU, dollar-neutral. Both are small-cap airlines with similar beta, so the pair largely hedges sector moves while isolating the fuel-pass-through and balance-sheet gap between them.

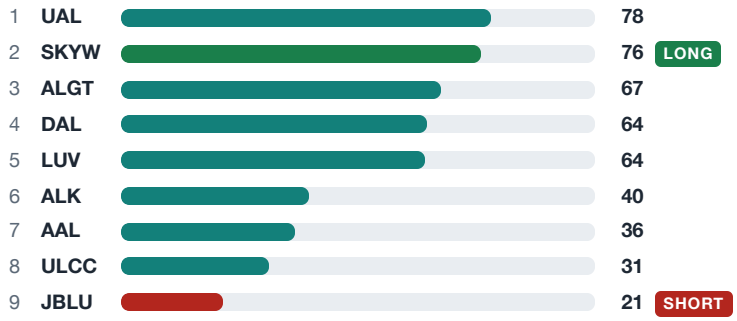
Built to be re-run, not re-coded. Every number in this report is pulled live and every page is generated automatically. To analyze **different companies**, a **different sector**, or simply **refresh the data**, edit one plain-text list of tickers and run one command:

```
python run.py sectors/airlines.yaml
```

See page 2 for the full how-to.

Code, prompts & sector files (public, no login): https://github.com/andrewjaynes/fmkt256-airlines-long-short

QUANTITATIVE SCREEN: COMPOSITE SCORE (0–100)



Score = weighted percentile rank on valuation, profitability, balance sheet, momentum and street view. The AI makes the final call (p. 13).

UNIVERSE

UAL United Airlines Holdings · **SKYW** SkyWest · **ALGT** Allegiant Travel Company · **DAL** Delta Air Lines · **LUV** Southwest Airlines Co. · **ALK** Alaska Air Group · **AAL** American Airlines Group · **ULCC** Frontier Group Holdings · **JBLU** JetBlue Airways Corporation

WHAT'S INSIDE

p. 2	**How to reuse this tool with new companies or new data, without new code**
p. 3	**Sector dashboard: side-by-side comparison, scores, valuation map**
p. 4–12	**One-page summary per company (ordered by composite score)**
p. 13	**Long / short decision memo**
p. 14	**Methodology, data sources and AI prompts**

How to reuse this: new companies or new data, zero new code

The analysis is driven by a plain-text **sector file**. The code never changes. Only the list of tickers does.

1

Edit the ticker list

Open `sectors/airlines.yaml` in any text editor. Add, remove or replace tickers. For a new sector, copy the file (e.g. `sectors/railroads.yaml`) and change the name and tickers.

2

Run one command

`python run.py sectors/airlines.yaml`

Prices, financials, peer medians, ranks, charts and scores are all re-pulled and recomputed live for whatever tickers are listed.

3

AI writes the analysis

With a Claude API key, Claude searches the web and writes every one-pager plus the long/short memo automatically. Without one, the tool writes **copy-paste prompts** for Claude.ai or ChatGPT, still with no coding.

THE ENTIRE INPUT FOR THIS REPORT

```
sector: "U.S. Airlines"
slug: airlines            # folder name used for cached data /
AI output
report_title: "U.S. Airlines: One-Pagers and Long/Short Call"
team: "Andrew Jaynes · Ryan Readlinger · Finn Kelly"
code_url: "https://github.com/andrewjaynes/fmkt256-airlines-
long-short"   # optional: public link to this code (GitHub /
Google Drive) - shown in the report

tickers:
  - DAL    # Delta Air Lines
  - UAL    # United Airlines
  - AAL    # American Airlines
  - LUV    # Southwest Airlines
  - ALK    # Alaska Air Group (incl. Hawaiian)
  - JBLU   # JetBlue Airways
  - ULCC   # Frontier Group
  - ALGT   # Allegiant Travel (incl. Sun Country)
  - SKYW   # SkyWest

sector_context:  ...  (optional, plain English / settings)
weights:
  valuation: 0.25       # EV/EBITDA, forward P/E      (cheaper =
better)
  profitability: 0.20   # operating margin, net margin, ROE
  balance_sheet: 0.25   # net debt / EBITDA, cash / revenue
  momentum: 0.15        # 1-yr return, distance from 52-wk high
  street: 0.15          # upside to analyst target, short
interest

ai:  ...  (optional, plain English / settings)
```

WHAT HAPPENS WHEN YOU RUN IT

1 · Fetch
Live prices, statements, consensus for each ticker

→

2 · Score
21 metrics, peer medians, ranks, 0–100 composite

3 · AI
Claude researches news and writes each one-pager and picks long/short

→

4 · Render
Charts + pages, printed to this PDF

COMMON SCENARIOS

I want to…	Do this
Refresh with today's data	**Re-run the same command**
Add / drop a company	**Edit the `tickers:` list, re-run**
Cover a new sector	**Copy the sector file, change name + tickers**
Emphasize value over momentum	**Change the `weights:` numbers**
Force new AI write-ups	**`python run.py --refresh-ai`**
Change what the AI writes	**Edit the plain-English prompt in `prompts/`**

Ships with a second sector file, `sectors/railroads.yaml`, as a ready-made example. Saved AI write-ups are stored as JSON in `analysis/<sector>/` and reused until they are 30 days old.

PROOF: THE SAME CODE, RUN ON A DIFFERENT SECTOR FILE

U.S. Class I Railroads `python run.py sectors/railroads.yaml` generated 2026-11-03 03:53 · 8 companies · zero code changes

1. UNP 80 · **2. CNI** 67 · **3. CSX** 64 · **4. CP** 55 · **5. NSC** 51 · **6. WAB** 47 · **7. TRN** 46 · **8. GBX** 38

Composite scores computed live from the sector file's ticker list. AI write-ups for that run were left as copy-paste prompts (no API key), which shows the no-code path.

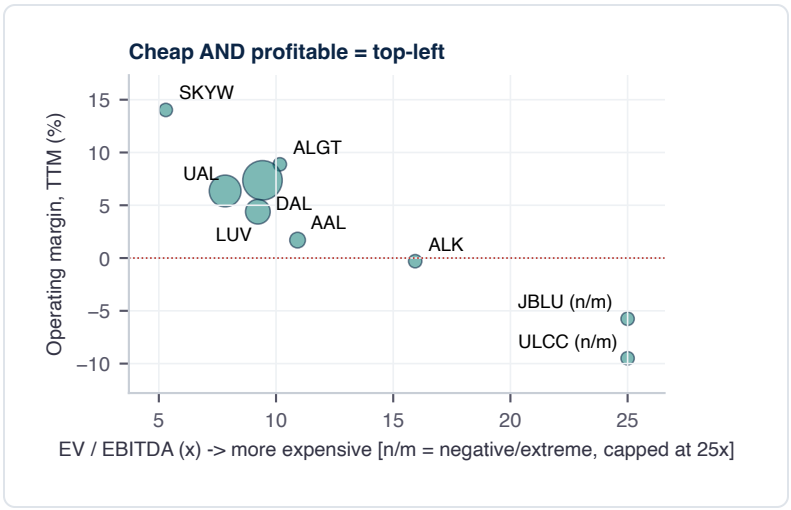
Code, sector files and prompts: https://github.com/andrewjaynes/fmkt256-airlines-long-short

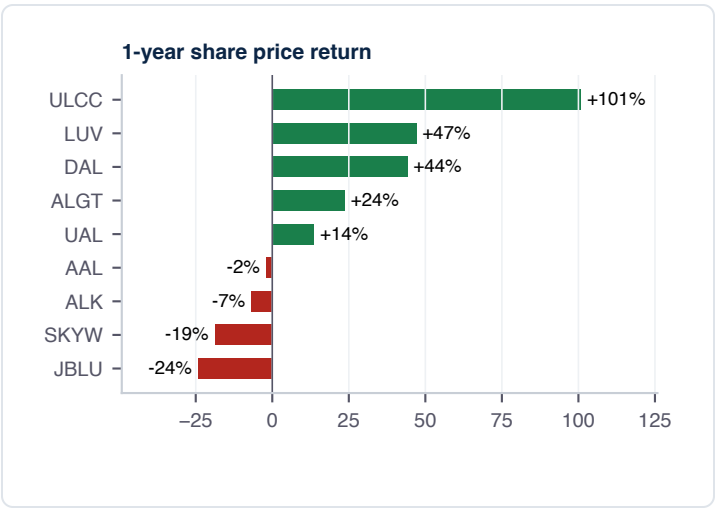
Sector dashboard: U.S. Airlines

Companies ranked by composite score (0–100). Each pillar is a percentile rank within this peer group; green = better.

#	COMPANY	PRICE	MKT CAP	EV/EBITDA	FWD P/E	OP. MGN	ND/EBITDA	1Y RET.	SHORT INT.	VAL.	PROF.	B/S	MOM.	STREET	SCORE
1	**UAL** United Airlines	$109.24	$35.5B	7.8x	9.3x	6.4%	2.8x	+14%	4.2%	81	85	76	61	83	78
2	**SKYW** SkyWest LONG	$81.68	$3.1B	5.3x	7.6x	14.0%	2.0x	-19%	6.0%	100	92	60	33	83	76
3	**ALGT** Allegiant Travel	$76.58	$2.1B	10.2x	7.7x	8.9%	4.7x	+24%	9.2%	69	65	75	44	78	67
4	**DAL** Delta Air Lines	$83.42	$54.9B	9.4x	11.4x	7.4%	2.2x	+44%	3.2%	56	81	43	83	72	64
5	**LUV** Southwest Airlines	$43.96	$21.5B	9.2x	10.5x	4.4%	1.2x	+47%	6.3%	69	62	61	83	44	64
6	**ALK** Alaska Air	$38.29	$4.3B	15.9x	11.8x	-0.3%	8.8x	-7%	12.5%	31	35	46	33	56	40
7	**AAL** American Airlines	$13.08	$8.7B	10.9x	13.8x	1.7%	8.4x	-2%	15.8%	31	30	41	50	33	36
8	**ULCC** Frontier	$7.43	$1.7B	n/m	31.0x	-9.5%	n/m	+101%	42.1%	6	15	39	100	11	31
9	**JBLU** JetBlue Airways SHORT	$3.17	$1.2B	108.8x	n/m	-5.8%	94.4x	-24%	32.9%	6	19	34	11	39	21
	Peer median		$4.3B	9.8x	11.0x	4.4%	3.8x	+14%	9.2%						

n/m = not meaningful (negative EBITDA or earnings). Pillar weights: Valuation 25%, Profitability 20%, Balance sheet 25%, Momentum 15%, Street view 15%. ND = net debt.





BUSINESS MODELS AND AI STANCE AT A GLANCE

TICKER	MODEL	AI HEADLINE	STANCE
UAL	Global network carrier	Biggest liquidity cushion and cheapest multiple of the big three, but weak Q4 guidance shows fuel can still swamp record revenue.	Overweight
SKYW	Regional airline (capacity-purchase contracts)	Fixed-fee contracts with the majors shield SkyWest from the fuel shock: it grew EPS while peers cut guidance, yet trades at 5.3x EBITDA.	Overweight
ALGT	Leisure ULCC (now incl. Sun Country)	Cheap on 2026 earnings with a merger-synergy story, but Q3 guidance and integration execution keep it a show-me stock.	Neutral
DAL	Global network carrier (premium leader)	Highest-quality franchise with strong momentum, but the market already pays for it and fuel forced a large 2026 guidance cut.	Neutral
LUV	Domestic low-cost / point-to-point	Least-levered major with a credible self-help story, but the 2026 rally already prices in much of the turnaround.	Neutral
ALK	West Coast network + Hawaiian (merged)	Hawaiian integration is done and loyalty is growing fast, but a guided full-year loss and 8.8x leverage leave little margin for error.	Neutral
AAL	Global network carrier (most levered)	Record revenue cannot overcome the industry's heaviest debt load; American guides to a full-year loss as fuel costs jump 67%.	Underweight
ULCC	Ultra-low-cost carrier	The biggest winner from Spirit's collapse: the stock doubled, now trades above its consensus target, and 42% of the float is short.	Underweight
JBLU	Northeast low-cost hybrid	Revenue is up 21% yet losses are widening; with $8.4B of debt on a $1.2B equity value, the stock is a leveraged bet on fuel.	Underweight

UAL

United Airlines Holdings, Inc.

Global network carrier · Chicago, IL · 117,900 employees

$109.24

52-wk $84.64 – $138.77 · target $149.70

SCORE 78/100 · RANK 1 OF 9 **OVERWEIGHT**

Biggest liquidity cushion and cheapest multiple of the big three, but weak Q4 guidance shows fuel can still swamp record revenue.

	UAL	Peer med.	Rank
SIZE & VALUATION			
Market cap	**$35.5B**	$4.3B	
Enterprise value	**$55.1B**	$9.6B	
EV / EBITDA (TTM)	**7.8x**	9.8x	2/9
P/E (forward)	**9.3x**	11.0x	3/9
P/E (trailing)	**10.0x**	16.7x	
Price / book	**2.0x**	1.6x	
GROWTH & PROFITABILITY			
Revenue (TTM)	**$65.6B**	$14.8B	
Revenue growth (latest qtr YoY)	**+17.4%**	+21.1%	
Operating margin (TTM)	**6.4%**	4.4%	4/9
Net margin (TTM)	**5.5%**	0.9%	2/9
Return on equity	**22.3%**	7.9%	1/9
BALANCE SHEET			
Total debt	**$34.3B**	$7.5B	
Cash & investments	**$14.7B**	$2.2B	
Net debt / EBITDA	**2.8x**	3.8x	4/9
Cash / revenue	**22.4%**	15.1%	2/9
Free cash flow (TTM)	**-$576M**	-$22M	
MARKET & STREET			
1-year total return	**+13.7%**	+13.7%	5/9
vs. 52-week high	**-21.3%**	-30.4%	4/9
Upside to mean target	**+37.0%**	+29.4%	3/9
Short interest (% float)	**4.2%**	9.2%	2/9
Beta	**1.37**	1.45	

SCORE BY PILLAR (VS. PEERS)

Valuation	81
Profitability	85
Balance sheet	76
Momentum	61
Street view	83

BUSINESS

Largest U.S. airline by revenue ($65.6B TTM), with seven U.S. hubs including Newark, Chicago, Denver, Houston and San Francisco, and the deepest Pacific and Atlantic network. Premium cabins and MileagePlus drive margin.

LATEST QUARTER & GUIDANCE

- Q3 2026 revenue was a record $17.9B (+17.4% YoY) on higher yields; GAAP net income $1.03B, adjusted EPS $2.54 (-8.6%).
- Fuel expense rose 61.6% to $4.84B as the average price hit $3.90/gal vs $2.43 a year earlier, with gallons roughly flat.
- Q4 revenue growth guided above 20%, but per Skift, Q4 adjusted EPS guidance of $0.50-$1.50 (at $4.80/gal fuel) sits well below the $1.76 consensus.

STRENGTHS

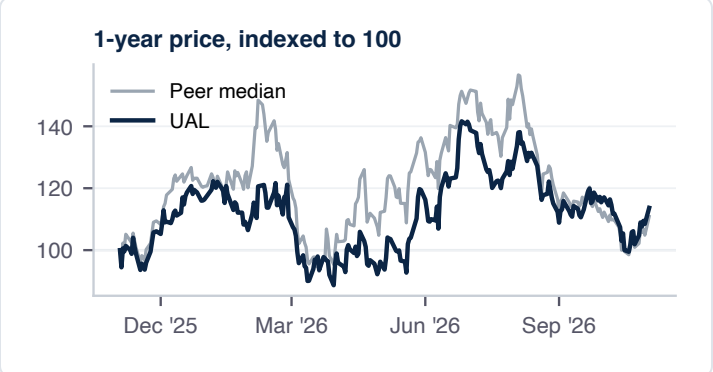
- Highest ROE in the group (22%) and #2 net margin
- $17.7B of available liquidity, the largest cushion of the peers
- Pricing power: Q4 revenue expected up more than 20%

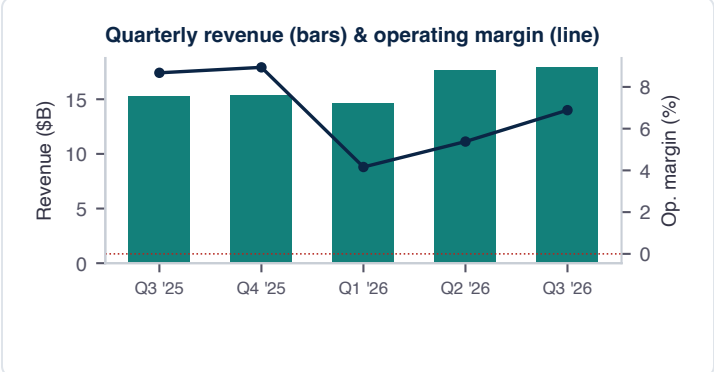
RISKS

- $26.4B of debt and finance leases; free cash flow negative (-$0.6B TTM)
- Highly exposed to jet fuel staying near $4.80/gal
- International demand sensitive to the Middle East conflict

CATALYSTS (6–12 MONTHS)

- Q4 2026 results and 2027 guide in January
- Any easing in crude/jet fuel prices
- Continued premium and loyalty revenue growth





Sources: United Q3 2026 earnings release (SEC... · Skift: United Q4 guidance vs. expectations · Beancount: United FY2026 Q3 earnings analysis

Latest reported qtr in data: Q3 '26 · 4

SKYW BEST LONG

SkyWest, Inc.

Regional airline (capacity-purchase contracts) · Saint George, UT · 13,818 employees

$81.68

52-wk $77.89 – $117.72 · target $117.83

SCORE 76/100 · RANK 2 OF 9 OVERWEIGHT

Fixed-fee contracts with the majors shield SkyWest from the fuel shock: it grew EPS while peers cut guidance, yet trades at 5.3x EBITDA.

	SKYW	Peer med.	Rank
SIZE & VALUATION			
Market cap	**$3.1B**	$4.3B	
Enterprise value	**$5.0B**	$9.6B	
EV / EBITDA (TTM)	**5.3x**	9.8x	1/9
P/E (forward)	**7.6x**	11.0x	1/9
P/E (trailing)	**8.0x**	16.7x	
Price / book	**1.1x**	1.6x	
GROWTH & PROFITABILITY			
Revenue (TTM)	**$4.2B**	$14.8B	
Revenue growth (latest qtr YoY)	**+6.5%**	+21.1%	
Operating margin (TTM)	**14.0%**	4.4%	1/9
Net margin (TTM)	**9.8%**	0.9%	1/9
Return on equity	**15.1%**	7.9%	3/9
BALANCE SHEET			
Total debt	**$2.4B**	$7.5B	
Cash & investments	**$569M**	$2.2B	
Net debt / EBITDA	**2.0x**	3.8x	2/9
Cash / revenue	**13.6%**	15.1%	7/9
Free cash flow (TTM)	**-$22M**	-$22M	
MARKET & STREET			
1-year total return	**-18.8%**	+13.7%	8/9
vs. 52-week high	**-30.6%**	-30.4%	6/9
Upside to mean target	**+44.3%**	+29.4%	2/9
Short interest (% float)	**6.0%**	9.2%	3/9
Beta	**1.60**	1.45	

SCORE BY PILLAR (VS. PEERS)

Valuation	100
Profitability	92
Balance sheet	60
Momentum	33
Street view	83

BUSINESS

The largest U.S. regional airline (522 regional jets in service or under contract), flying as United Express, Delta Connection, American Eagle and Alaska. Most flying is under capacity-purchase agreements (CPAs) where the major partner pays a fixed fee and bears fuel cost.

LATEST QUARTER & GUIDANCE

- Q3 2026 diluted EPS of $3.08, up from $2.81 a year earlier, on revenue of $1.12B (reported Oct 29).
- Higher fuel prices hurt only the smaller prorate (revenue-sharing) segment, where SkyWest does bear fuel.
- Repurchased $75M of stock in Q3 with ~$238M of authorization left; 69 more E175s are scheduled for delivery, mostly to partner contracts.

STRENGTHS

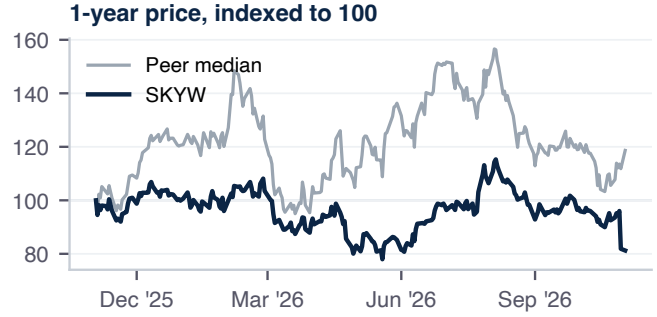
- Business model largely passes fuel cost to partners
- Cheapest stock in the group: EV/EBITDA 5.3x, forward P/E 7.6x
- Highest margins (14% operating, 9.8% net)

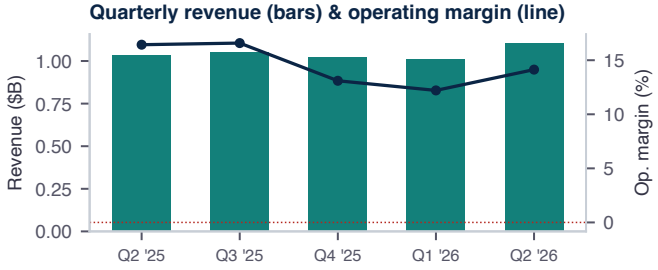
RISKS

- Concentrated customers: pressured majors could cut regional flying
- Prorate segment does carry fuel risk
- Pilot supply and contract renewal terms

CATALYSTS (6–12 MONTHS)

- Q4 results and placement of 33 still-unassigned E175 deliveries
- Re-rating as the market recognizes fuel insulation
- Ongoing buybacks ($238M authorized)





Sources: SkyWest Q3 2026 earnings release... · Yahoo Finance: SKYW quote and financials

Latest reported qtr in data: Q2 '26 · 5

ALGT

Allegiant Travel Company

Leisure ULCC (now incl. Sun Country) · Las Vegas, NV · 8,484 employees

$76.58

52-wk $57.11 – $123.63 · target $117.43

SCORE 67/100 · RANK 3 OF 9 NEUTRAL

Cheap on 2026 earnings with a merger-synergy story, but Q3 guidance and integration execution keep it a show-me stock.

	ALGT	Peer med.	Rank
SIZE & VALUATION			
Market cap	**$2.1B**	$4.3B	
Enterprise value	**$3.9B**	$9.6B	
EV / EBITDA (TTM)	**10.2x**	9.8x	5/9
P/E (forward)	**7.7x**	11.0x	2/9
P/E (trailing)	**65.5x**	16.7x	
Price / book	**1.2x**	1.6x	
GROWTH & PROFITABILITY			
Revenue (TTM)	**$2.9B**	$14.8B	
Revenue growth (latest qtr YoY)	**+36.9%**	+21.1%	
Operating margin (TTM)	**8.9%**	4.4%	2/9
Net margin (TTM)	**0.9%**	0.9%	5/9
Return on equity	**1.8%**	7.9%	5/9
BALANCE SHEET			
Total debt	**$2.9B**	$7.5B	
Cash & investments	**$1.1B**	$2.2B	
Net debt / EBITDA	**4.7x**	3.8x	5/9
Cash / revenue	**36.4%**	15.1%	1/9
Free cash flow (TTM)	**$195M**	-$22M	
MARKET & STREET			
1-year total return	**+23.7%**	+13.7%	4/9
vs. 52-week high	**-38.1%**	-30.4%	8/9
Upside to mean target	**+53.3%**	+29.4%	1/9
Short interest (% float)	**9.2%**	9.2%	5/9
Beta	**1.65**	1.45	

SCORE BY PILLAR (VS. PEERS)

Valuation	69
Profitability	65
Balance sheet	75
Momentum	44
Street view	78

BUSINESS

Allegiant flies leisure travelers from small and mid-size cities to vacation destinations, often only a few times a week. It closed its acquisition of Sun Country (Minneapolis-based, with charter and Amazon cargo flying) on May 13, 2026.

LATEST QUARTER & GUIDANCE

- Q2 2026 adjusted EPS of $2.19 (+78%); combined revenue ~$944M (+36.9%) with Sun Country included from May 13.
- Guided Q3 to a 1-3% adjusted operating margin and adjusted EPS of $(1.00) to $0.00 at $3.80/gal fuel; Q3 results are not yet in the data.
- Full-year 2026 adjusted EPS guided above $6.00; targets at least $140M of annual run-rate synergies within three years of close.

STRENGTHS

- Low forward P/E (7.7x) and 53% upside to consensus target
- Diversification into charter and cargo via Sun Country
- Healthy cash cushion (36% of revenue)

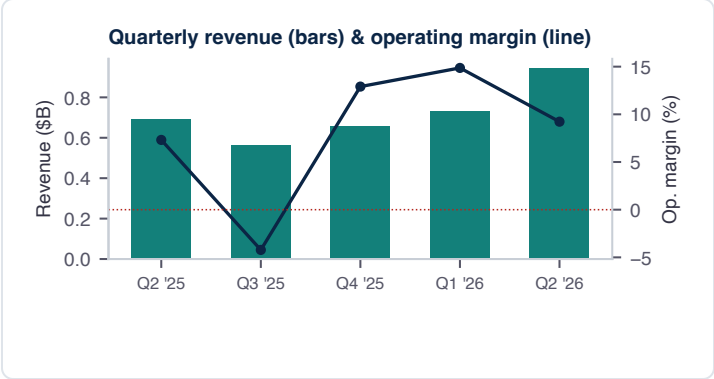
RISKS

- Merger integration risk; trimming off-peak flying because of fuel volatility
- Net debt/EBITDA of 4.7x after the deal
- Leisure demand is the first to weaken in a slowdown

CATALYSTS (6–12 MONTHS)

- Q3 2026 results (due early November)
- Synergy progress and single operating certificate
- Fuel relief





Sources: Allegiant Q2 2026 financial results · Pulse 2.0: Allegiant to acquire Sun... · MarketBeat: Allegiant Q2 2026...

Latest reported qtr in data: Q2 '26 · 6

DAL

Delta Air Lines, Inc.

Global network carrier (premium leader) · Atlanta, GA · 100,000 employees

$83.42

52-wk $55.03 – $95.68 · target $100.78

SCORE 64/100 · RANK 4 OF 9 NEUTRAL

Highest-quality franchise with strong momentum, but the market already pays for it and fuel forced a large 2026 guidance cut.

	DAL	Peer med.	Rank
SIZE & VALUATION			
Market cap	**$54.9B**	$4.3B	
Enterprise value	**$70.7B**	$9.6B	
EV / EBITDA (TTM)	**9.4x**	9.8x	4/9
P/E (forward)	**11.4x**	11.0x	5/9
P/E (trailing)	**16.7x**	16.7x	
Price / book	**2.4x**	1.6x	
GROWTH & PROFITABILITY			
Revenue (TTM)	**$71.8B**	$14.8B	
Revenue growth (latest qtr YoY)	**+21.1%**	+21.1%	
Operating margin (TTM)	**7.4%**	4.4%	3/9
Net margin (TTM)	**4.6%**	0.9%	3/9
Return on equity	**15.9%**	7.9%	2/9
BALANCE SHEET			
Total debt	**$19.9B**	$7.5B	
Cash & investments	**$3.8B**	$2.2B	
Net debt / EBITDA	**2.2x**	3.8x	3/9
Cash / revenue	**5.3%**	15.1%	9/9
Free cash flow (TTM)	**$2.5B**	-$22M	
MARKET & STREET			
1-year total return	**+44.1%**	+13.7%	3/9
vs. 52-week high	**-12.8%**	-30.4%	2/9
Upside to mean target	**+20.8%**	+29.4%	6/9
Short interest (% float)	**3.2%**	9.2%	1/9
Beta	**1.42**	1.45	

SCORE BY PILLAR (VS. PEERS)

Valuation	56
Profitability	81
Balance sheet	43
Momentum	83
Street view	72

BUSINESS

Delta flies from Atlanta, Detroit, Minneapolis, Salt Lake City, New York and other hubs, and earns the industry's richest premium and co-brand card revenue (American Express). Largest market cap in the group at $54.9B.

LATEST QUARTER & GUIDANCE

- Q3 2026 operating revenue $20.2B (+21.1%); net income $756M ($1.15/share, -47%); adjusted EPS $1.72 vs $1.70; adjusted operating margin 9.4% vs 11.1%.
- Cut 2026 adjusted EPS guidance to $5.10-$5.60 from $6.50-$7.50, citing a ~$6B fuel cost increase; Q4 adjusted EPS guided to $1.15-$1.65.
- Adjusted Q3 earnings of ~$1.13B topped United's $833M on lower adjusted revenue, underlining Delta's cost and premium-mix edge.

STRENGTHS

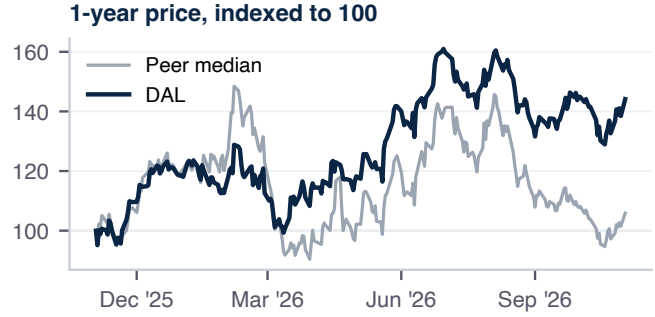
- Strongest brand and premium/loyalty economics in the industry
- +44% 1-year return, near the top of the group
- Only network carrier paying a dividend

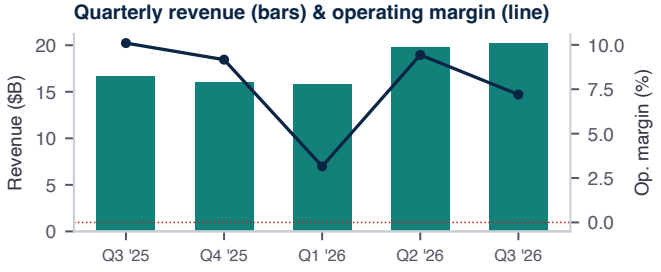
RISKS

- Thin cash ($3.8B, 5% of revenue), the lowest liquidity ratio of the peers
- Priciest forward P/E among profitable majors (11.4x)
- Fuel-driven estimate cuts may continue

CATALYSTS (6–12 MONTHS)

- 2027 outlook at January investor update
- Amex remuneration growth
- Fuel price relief





Sources: RTTNews: Delta drops on cautious Q4... · View from the Wing: Delta made more... · 24/7 Wall St: airline stocks rise as...

Latest reported qtr in data: Q3 '26 · 7

LUV

Southwest Airlines Co.

Domestic low-cost / point-to-point · Dallas, TX · 73,092 employees

$43.96

52-wk $29.26 – $55.11 · target $49.89

SCORE 64/100 · RANK 5 OF 9 NEUTRAL

Least-levered major with a credible self-help story, but the 2026 rally already prices in much of the turnaround.

	LUV	Peer med.	Rank
SIZE & VALUATION			
Market cap	**$21.5B**	$4.3B	
Enterprise value	**$24.8B**	$9.6B	
EV / EBITDA (TTM)	**9.2x**	9.8x	3/9
P/E (forward)	**10.5x**	11.0x	4/9
P/E (trailing)	**20.7x**	16.7x	
Price / book	**2.9x**	1.6x	
GROWTH & PROFITABILITY			
Revenue (TTM)	**$31.5B**	$14.8B	
Revenue growth (latest qtr YoY)	**+21.2%**	+21.1%	
Operating margin (TTM)	**4.4%**	4.4%	5/9
Net margin (TTM)	**3.3%**	0.9%	4/9
Return on equity	**13.9%**	7.9%	4/9
BALANCE SHEET			
Total debt	**$6.9B**	$7.5B	
Cash & investments	**$3.6B**	$2.2B	
Net debt / EBITDA	**1.2x**	3.8x	1/9
Cash / revenue	**11.5%**	15.1%	8/9
Free cash flow (TTM)	**-$613M**	-$22M	
MARKET & STREET			
1-year total return	**+47.0%**	+13.7%	2/9
vs. 52-week high	**-20.2%**	-30.4%	3/9
Upside to mean target	**+13.5%**	+29.4%	8/9
Short interest (% float)	**6.3%**	9.2%	4/9
Beta	**1.22**	1.45	

SCORE BY PILLAR (VS. PEERS)

Valuation	69
Profitability	62
Balance sheet	61
Momentum	83
Street view	44

BUSINESS

Largest domestic carrier by passengers, with an all-737 fleet and a point-to-point network. It is mid-transformation, adding bag fees, assigned and premium seating, and partnerships to raise revenue per seat.

LATEST QUARTER & GUIDANCE

- Q3 2026 record operating revenue of $8.42B (+21.2%); adjusted EPS $0.66; GAAP net income $270M vs $54M a year earlier.
- Full-year 2026 adjusted EPS guidance now $2.60-$2.85, down from $3.25-$4.25 in July, on higher fuel; Q4 guided to $0.55-$0.80.
- Stock up 47% over 12 months, the best of any major, as investors reward the business-model changes.

STRENGTHS

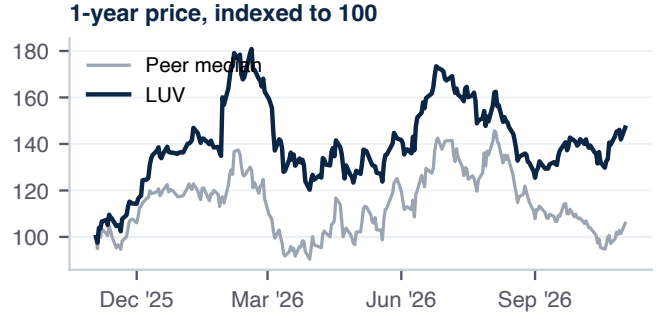
- Lowest leverage in the group (net debt/EBITDA 1.2x)
- Self-help revenue initiatives independent of the cycle
- Dividend payer (1.6% yield)

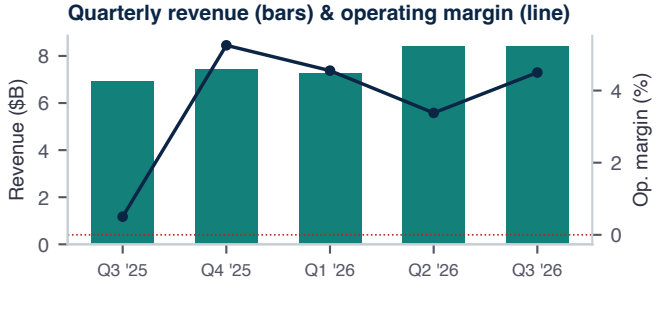
RISKS

- Thin 4.4% operating margin; cost inflation from labor deals
- Only 13% upside to consensus target after the rally
- Domestic-only exposure to a consumer slowdown

CATALYSTS (6–12 MONTHS)

- Revenue uplift from seating and fee initiatives
- 2027 margin targets
- Fleet/Boeing delivery timing





Sources: Quartr: Southwest Q3 2026 earnings summary · TravelExtra: Southwest cuts 2026... · Bernama: U.S. airline Q3 2026 results

Latest reported qtr in data: Q3 '26 · 8

ALK

Alaska Air Group, Inc.

West Coast network + Hawaiian (merged) · Seattle, WA · 31,787 employees

$38.29

52-wk $32.33 – $60.63 · target $51.69

SCORE 40/100 · RANK 6 OF 9 NEUTRAL

Hawaiian integration is done and loyalty is growing fast, but a guided full-year loss and 8.8x leverage leave little margin for error.

	ALK	Peer med.	Rank
SIZE & VALUATION			
Market cap	**$4.3B**	$4.3B	
Enterprise value	**$9.6B**	$9.6B	
EV / EBITDA (TTM)	**15.9x**	9.8x	7/9
P/E (forward)	**11.8x**	11.0x	6/9
P/E (trailing)	**n/m**	16.7x	
Price / book	**1.2x**	1.6x	
GROWTH & PROFITABILITY			
Revenue (TTM)	**$14.8B**	$14.8B	
Revenue growth (latest qtr YoY)	**+9.7%**	+21.1%	
Operating margin (TTM)	**-0.3%**	4.4%	7/9
Net margin (TTM)	**-1.2%**	0.9%	7/9
Return on equity	**-10.5%**	7.9%	6/9
BALANCE SHEET			
Total debt	**$7.5B**	$7.5B	
Cash & investments	**$2.2B**	$2.2B	
Net debt / EBITDA	**8.8x**	3.8x	7/9
Cash / revenue	**15.1%**	15.1%	4/9
Free cash flow (TTM)	**-$462M**	-$22M	
MARKET & STREET			
1-year total return	**-6.8%**	+13.7%	7/9
vs. 52-week high	**-36.8%**	-30.4%	7/9
Upside to mean target	**+35.0%**	+29.4%	4/9
Short interest (% float)	**12.5%**	9.2%	6/9
Beta	**1.42**	1.45	

SCORE BY PILLAR (VS. PEERS)

Valuation	31
Profitability	35
Balance sheet	46
Momentum	33
Street view	56

BUSINESS

Alaska Air Group combines Alaska Airlines (Seattle, Portland, Bay Area, Los Angeles) with Hawaiian Airlines (acquired 2024), adding widebodies for Pacific and new Seattle long-haul flying. A oneworld member with a strong West Coast loyalty base.

LATEST QUARTER & GUIDANCE

- Q3 2026 revenue $4.3B (+14%), unit revenue up nearly 12% on capacity +2.4%; GAAP net loss $147M ($1.32/share).
- Adjusted EPS $0.36 excluding a $0.67 tax catch-up ($0.31 loss including it); full-year 2026 guided to an adjusted loss of $5.00-$5.50/share on a $1.8B fuel headwind.
- Loyalty cash remuneration +21% to $721M and managed corporate revenue +30%; the single passenger service system went live in Q2.

STRENGTHS

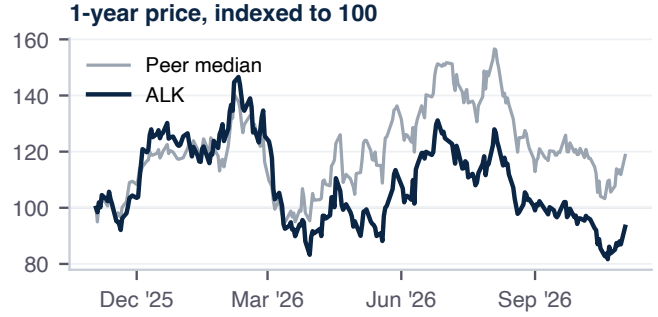
- Fast-growing loyalty and corporate revenue
- Integration risk largely behind it
- Low price/book (1.2x) and 35% upside to target

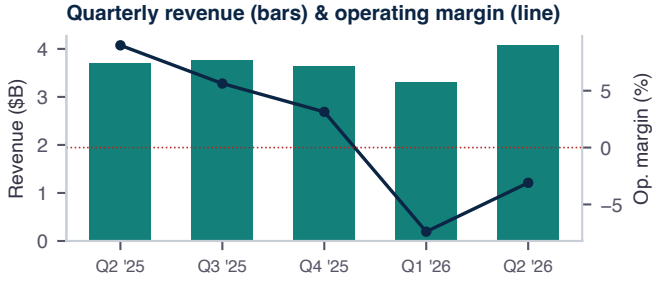
RISKS

- Net debt/EBITDA of 8.8x and a guided 2026 loss
- Most expensive EV/EBITDA of the network carriers (15.9x)
- Hawaii and Pacific demand volatility

CATALYSTS (6–12 MONTHS)

- Merger synergy delivery in 2027
- New Seattle international routes ramping
- Liquidity rebuild and debt paydown once fuel stabilizes





Sources: Alaska Air Group reports Q3 2026 results · Alaska Air Group reports Q2 2026 results · Earnings Whispers: ALK Q3 2026 call...

Latest reported qtr in data: Q2 '26 · 9

AAL

American Airlines Group Inc.

Global network carrier (most levered) · Fort Worth, TX · 141,100 employees

$13.08

52-wk $10.09 – $18.79 · target $15.40

SCORE 36/100 · RANK 7 OF 9 **UNDERWEIGHT**

Record revenue cannot overcome the industry's heaviest debt load; American guides to a full-year loss as fuel costs jump 67%.

	AAL	Peer med.	Rank
SIZE & VALUATION			
Market cap	**$8.7B**	$4.3B	
Enterprise value	**$37.1B**	$9.6B	
EV / EBITDA (TTM)	**10.9x**	9.8x	6/9
P/E (forward)	**13.8x**	11.0x	7/9
P/E (trailing)	**n/m**	16.7x	
Price / book	**n/m**	1.6x	
GROWTH & PROFITABILITY			
Revenue (TTM)	**$61.0B**	$14.8B	
Revenue growth (latest qtr YoY)	**+19.3%**	+21.1%	
Operating margin (TTM)	**1.7%**	4.4%	6/9
Net margin (TTM)	**-0.8%**	0.9%	6/9
Return on equity	**n/m**	7.9%	
BALANCE SHEET			
Total debt	**$37.2B**	$7.5B	
Cash & investments	**$8.7B**	$2.2B	
Net debt / EBITDA	**8.4x**	3.8x	6/9
Cash / revenue	**14.3%**	15.1%	6/9
Free cash flow (TTM)	**$29M**	-$22M	
MARKET & STREET			
1-year total return	**-1.9%**	+13.7%	6/9
vs. 52-week high	**-30.4%**	-30.4%	5/9
Upside to mean target	**+17.7%**	+29.4%	7/9
Short interest (% float)	**15.8%**	9.2%	7/9
Beta	**1.45**	1.45	

SCORE BY PILLAR (VS. PEERS)

Valuation	31
Profitability	30
Balance sheet	41
Momentum	50
Street view	33

BUSINESS

World's largest airline by fleet and passengers, with fortress hubs at Dallas/Fort Worth and Charlotte and a strong Latin America network. AAdvantage is a major profit pool, but the balance sheet still carries pandemic-era debt.

LATEST QUARTER & GUIDANCE

- Q3 2026 GAAP net loss of $269M ($0.41/share) and adjusted loss of $182M, despite record revenue of $16.3B (+19.3%).
- Fuel costs rose $1.9B (+67.5%) as the price per gallon climbed to $3.85 from $2.37.
- Full-year 2026 guided to an adjusted loss of $1.00-$1.60 per share; Q4 fuel assumed at about $4.70/gal; liquidity of $11.8B.

STRENGTHS

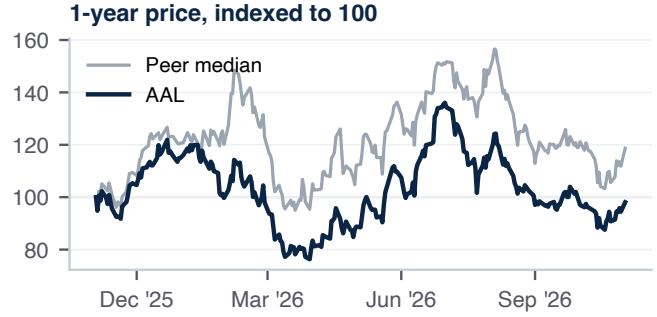
- $11.8B of available liquidity
- Dominant DFW and CLT hubs plus a valuable loyalty program
- Revenue momentum: +19% YoY

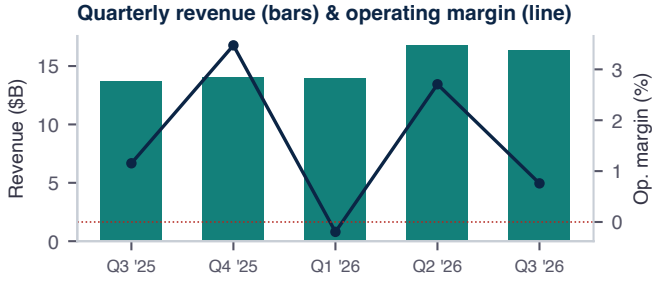
RISKS

- $37B of debt: net debt/EBITDA of 8.4x, with negative book equity
- Weakest operating margin of the big three (1.7%)
- Lagging premium product vs. Delta and United

CATALYSTS (6–12 MONTHS)

- Q4 results / 2027 deleveraging targets
- Fuel price moves (very high operating leverage)
- Corporate travel share recovery





Sources: American Airlines Q3 2026 earnings... · 24/7 Wall St: AAL Q3 2026, record...

Latest reported qtr in data: Q3 '26 · 10

ULCC

Frontier Group Holdings, Inc.

Ultra-low-cost carrier · Denver, CO · 8,187 employees

$7.43

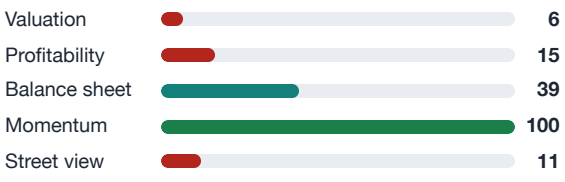
52-wk $3.02 – $8.40 · target $6.61

SCORE 31/100 · RANK 8 OF 9 **UNDERWEIGHT**

The biggest winner from Spirit's collapse: the stock doubled, now trades above its consensus target, and 42% of the float is short.

	ULCC	Peer med.	Rank
SIZE & VALUATION			
Market cap	**$1.7B**	$4.3B	
Enterprise value	**$5.8B**	$9.6B	
EV / EBITDA (TTM)	**n/m**	9.8x	
P/E (forward)	**31.0x**	11.0x	8/9
P/E (trailing)	**n/m**	16.7x	
Price / book	**46.1x**	1.6x	
GROWTH & PROFITABILITY			
Revenue (TTM)	**$4.6B**	$14.8B	
Revenue growth (latest qtr YoY)	**+52.9%**	+21.1%	
Operating margin (TTM)	**-9.5%**	4.4%	9/9
Net margin (TTM)	**-8.9%**	0.9%	8/9
Return on equity	**-175.4%**	7.9%	8/9
BALANCE SHEET			
Total debt	**$5.0B**	$7.5B	
Cash & investments	**$976M**	$2.2B	
Net debt / EBITDA	**n/m**	3.8x	
Cash / revenue	**21.1%**	15.1%	3/9
Free cash flow (TTM)	**$78M**	-$22M	
MARKET & STREET			
1-year total return	**+100.8%**	+13.7%	1/9
vs. 52-week high	**-11.6%**	-30.4%	1/9
Upside to mean target	**-11.0%**	+29.4%	9/9
Short interest (% float)	**42.1%**	9.2%	9/9
Beta	**2.69**	1.45	

SCORE BY PILLAR (VS. PEERS)



BUSINESS

Frontier is now the largest U.S. ultra-low-cost carrier, with an all-Airbus A320neo-family fleet and the industry's lowest unit costs. It earns heavily from ancillary fees and absorbed displaced Spirit demand after Spirit shut down in May 2026.

LATEST QUARTER & GUIDANCE

- Q3 2026 revenue of $1.36B (+53%, the fastest growth in the industry); fare revenue per passenger +71% to $67.82; passengers +18%.
- Adjusted profit of $40M beat expectations; GAAP net loss of $104M on lease termination and fleet charges. Fuel expense +82%.
- Q4 guided to adjusted EPS of -$0.15 to +$0.05 at $4.75/gal fuel, with RASM up more than 20% and capacity +5-6%.

STRENGTHS

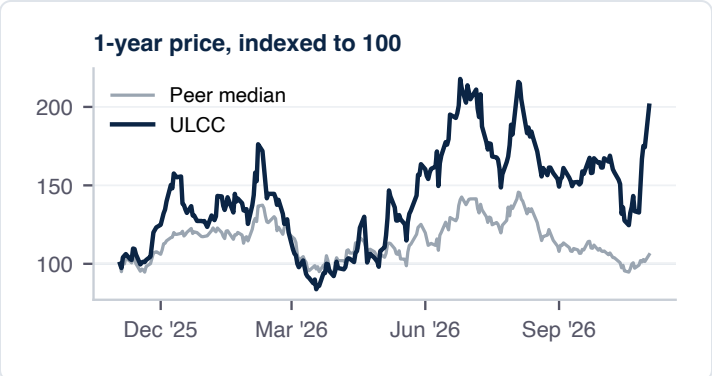
- Lowest cost base in the industry
- Pricing power after Spirit's exit
- +101% 1-year return: strong momentum

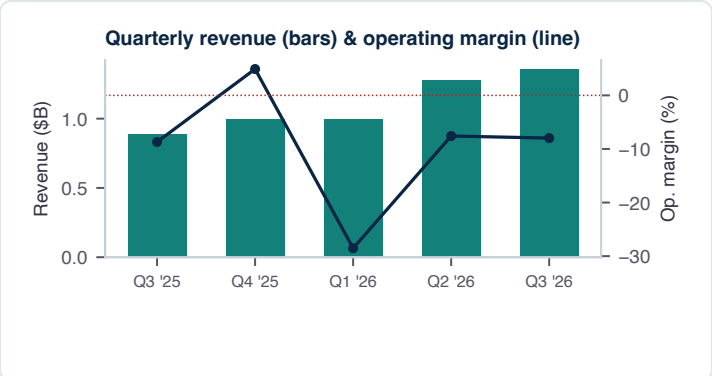
RISKS

- Negative TTM EBITDA and operating margin (-9.5%)
- Price already 11% above consensus target
- Labor and fuel inflation hit thin ULCC margins hardest

CATALYSTS (6–12 MONTHS)

- Q4 results and 2027 guidance: first full year without Spirit
- 2027 capacity plan (5-7% growth)
- Short covering or squeeze





Sources: Frontier Q3 2026 earnings release (SEC 8-K) · Airways: Frontier Q3 2026 revenue,... · Axios: Frontier faces the pressures...

Latest reported qtr in data: Q3 '26 · 11

JBLU BEST SHORT

JetBlue Airways Corporation

Northeast low-cost hybrid · Long Island City, NY · 19,725 employees

$3.17

52-wk $2.16 – $6.62 · target $4.10

SCORE 21/100 · RANK 9 OF 9 **UNDERWEIGHT**

Revenue is up 21% yet losses are widening; with $8.4B of debt on a $1.2B equity value, the stock is a leveraged bet on fuel.

	JBLU	Peer med.	Rank
SIZE & VALUATION			
Market cap	**$1.2B**	$4.3B	
Enterprise value	**$9.0B**	$9.6B	
EV / EBITDA (TTM)	**108.8x**	9.8x	8/9
P/E (forward)	**n/m**	11.0x	
P/E (trailing)	**n/m**	16.7x	
Price / book	**0.9x**	1.6x	
GROWTH & PROFITABILITY			
Revenue (TTM)	**$10.0B**	$14.8B	
Revenue growth (latest qtr YoY)	**+21.1%**	+21.1%	
Operating margin (TTM)	**-5.8%**	4.4%	8/9
Net margin (TTM)	**-10.0%**	0.9%	9/9
Return on equity	**-55.4%**	7.9%	7/9
BALANCE SHEET			
Total debt	**$9.3B**	$7.5B	
Cash & investments	**$1.5B**	$2.2B	
Net debt / EBITDA	**94.4x**	3.8x	8/9
Cash / revenue	**15.1%**	15.1%	5/9
Free cash flow (TTM)	**-$986M**	-$22M	
MARKET & STREET			
1-year total return	**-24.2%**	+13.7%	9/9
vs. 52-week high	**-52.1%**	-30.4%	9/9
Upside to mean target	**+29.4%**	+29.4%	5/9
Short interest (% float)	**32.9%**	9.2%	8/9
Beta	**1.90**	1.45	

SCORE BY PILLAR (VS. PEERS)

Valuation	6
Profitability	19
Balance sheet	34
Momentum	11
Street view	39

BUSINESS

JetBlue is a low-cost carrier focused on New York (JFK), Boston and Fort Lauderdale, with Mint premium transatlantic flying. It is executing its JetForward plan and a Blue Sky loyalty partnership with United after its Spirit merger was blocked.

LATEST QUARTER & GUIDANCE

- Q3 2026 net loss of $257M ($0.68/share) vs $143M a year ago, despite revenue +21.1% to $2.8B; adjusted loss of $0.60 missed the -$0.55 consensus.
- Fuel averaged $3.91/gal (+57%); operating margin -5.1%; nine-month net loss totals $823M.
- Liquidity about $2.2B (including a $600M undrawn revolver) against roughly $8.4B of debt; Q4 RASM guided +18-22% at $4.64/gal fuel.

STRENGTHS

- Strong unit-revenue momentum after Spirit's exit
- Valuable Northeast slots and a premium Mint product
- Partnership with United widens loyalty reach

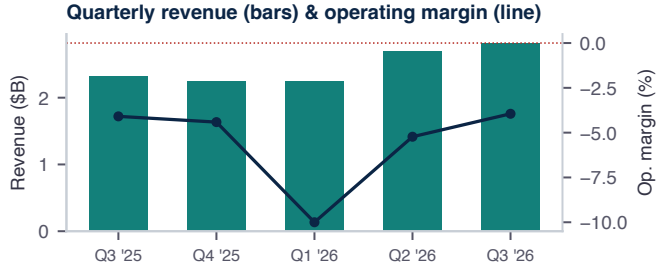
RISKS

- Net debt/EBITDA of 94x: EBITDA barely covers interest
- Cash burn may force dilutive equity or costly debt
- Most exposed balance sheet if fuel stays above $4.50

CATALYSTS (6–12 MONTHS)

- Q4 results and 2027 liquidity plan
- Possible capital raise
- Fuel price direction





Sources: JetBlue Q3 2026 earnings release (SEC 8-K) · Airways: JetBlue Q3 2026 loss as... · MarketScreener: fuel bill may upend...

Latest reported qtr in data: Q3 '26 · 12

The call: best long and best short

The screen ranks UAL first (78) by a hair over SKYW (76). We choose SKYW because the scores cannot see contract structure: SKYW's CPAs insulate it from the fuel shock that just forced UAL's Q4 guide well below consensus. The short agrees with the screen (JBLU, ranked last).

LONG

SKYW

SkyWest, Inc.
Composite rank 2 of 9

Fuel-insulated earnings at the sector's lowest multiple

SkyWest is the one airline whose business model is built to withstand 2026's defining risk: a near-doubling of jet fuel. Its capacity-purchase contracts pass most fuel cost to United, Delta, American and Alaska, so it grew EPS while the majors guided sharply lower. Yet it is the cheapest stock in the group.

EV/EBITDA	Op. margin	ND/EBITDA	Short int.
5.3x	14.0%	2.0x	6.0%

WHY

- Valuation: lowest EV/EBITDA (5.3x vs 9.8x peer median) and forward P/E (7.6x vs 11.0x); 100th-percentile valuation score.
- Profitability: highest operating margin (14.0%) and net margin (9.8%) in the group, with ROE of 15%.
- Earnings resilience: Q3 2026 EPS rose to $3.08 from $2.81, while DAL and LUV cut 2026 guidance and AAL and ALK now guide to full-year losses.
- Entry point: shares are down 19% over a year and 31% below the 52-week high, with 44% upside to the consensus target ($117.83).
- Clean positioning and capital return: short interest only 6%, leverage of 2.0x net debt/EBITDA, and $75M of buybacks in Q3.

RISKS TO THE CALL

- Counterparty concentration: fuel-squeezed majors could trim regional flying or push harder at contract renewals.
- The prorate segment does bear fuel and was a Q3 drag; a bigger prorate mix raises exposure.
- Pilot availability and aircraft delivery timing can cap growth.

WE'D EXIT IF...

Exit if a major partner announces material cuts to SkyWest-operated capacity, or if the prorate drag pushes EPS growth negative.

SHORT

JBLU

JetBlue Airways Corporation
Composite rank 9 of 9

Widening losses on a balance sheet with no fuel cushion

JetBlue ranks last on the quantitative screen and the fundamentals confirm it. Revenue grew 21% in Q3 yet the net loss nearly doubled, and roughly $8.4B of debt sits on a ~$1.2B equity value. If fuel stays near Q4's $4.64/gal assumption, more losses and likely dilution follow.

EV/EBITDA	Op. margin	ND/EBITDA	Short int.
108.8x	-5.8%	94.4x	32.9%

WHY

- Lowest composite score in the group; bottom-two rank on valuation, profitability and momentum pillars.
- Losses are widening: Q3 net loss of $257M vs $143M a year ago; nine-month loss of $823M; adjusted EPS missed consensus.
- Extreme leverage: net debt/EBITDA of 94x and EV/EBITDA of 109x. EBITDA ($83M TTM) barely registers against debt.
- Liquidity of ~$2.2B (incl. a $600M undrawn revolver) faces ~$1B of annual free-cash burn, making an equity raise or expensive debt likely.
- Unlike SkyWest, JetBlue bears 100% of its fuel bill; Q4 assumes $4.64/gal.

RISKS TO THE CALL

- Crowded trade: 33% of the float is short, so a fuel drop or a strategic deal could trigger a violent squeeze.
- Spirit's exit is lifting unit revenue (Q4 RASM guided +18-22%).
- A sub-$4 stock can carry high borrow cost. Size small, or express the view with puts or the pair trade.

WE'D EXIT IF...

Cover if jet fuel falls decisively (below ~$3.50/gal), JetBlue guides to positive operating margin, or a takeover or strategic investor emerges.

Runner-up long: UAL. Highest composite score (78) with 22% ROE, $17.7B of liquidity and 37% upside to target, but fully exposed to fuel, as its weak Q4 guide shows.

Runner-up short: AAL. Less crowded (16% short interest) and very liquid, with $37B of debt, negative book equity and a full-year loss guide. A cleaner borrow than JBLU.

Pair trade. Long SKYW / short JBLU, dollar-neutral. Both are small-cap airlines with similar beta, so the pair largely hedges sector moves while isolating the fuel-pass-through and balance-sheet gap between them.

Methodology, sources and AI prompts

QUANTITATIVE DATA

All market and financial figures are pulled live from Yahoo Finance (via the open-source `yfinance` library) each time the report is generated. No numbers are typed in by hand. TTM margins are the sum of the last four reported quarters. Revenue growth compares the latest quarter with the same quarter a year earlier. Net debt = total debt (incl. leases) – cash and investments.

COMPOSITE SCORE

Eleven metrics are converted to percentile ranks within the peer group (so the score is always *relative*), averaged into five pillars, then weighted per the sector file:

Pillar	Metrics (direction)	Weight
Valuation	EV/EBITDA ↓, forward P/E ↓	**25%**
Profitability	Operating margin ↑, net margin ↑, ROE ↑	**20%**
Balance sheet	Net debt/EBITDA ↓, cash/revenue ↑	**25%**
Momentum	1-yr return ↑, distance from 52-wk high ↑	**15%**
Street view	Upside to consensus target ↑, short interest ↓	**15%**

Negative EBITDA or earnings make a multiple "not meaningful"; those companies receive the lowest score on that metric.

DIVISION OF LABOR: CODE VS. AI

Code does what must be exact: fetching, calculating, ranking, charting. **AI** does what needs judgment: researching recent earnings and news, writing the qualitative assessment, and making the final long/short call (it may override the screen if it explains why).

AI WRITE-UPS IN THIS EDITION

Generated by: Claude (Opus 5.5) in Claude Code, with live web search of Q3 2026 earnings coverage. Each write-up cites its sources, listed below and in each page footer.

SOURCES CITED BY THE AI

- **UAL**: United Q3 2026 earnings release (SEC 8-K, Ex. 99.1)
- **UAL**: Skift: United Q4 guidance vs. expectations
- **UAL**: Beancount: United FY2026 Q3 earnings analysis
- **SKYW**: SkyWest Q3 2026 earnings release (SEC 8-K, Ex. 99.1)
- **SKYW**: Yahoo Finance: SKYW quote and financials
- **ALGT**: Allegiant Q2 2026 financial results
- **ALGT**: Pulse 2.0: Allegiant to acquire Sun Country in $1.5B deal
- **ALGT**: MarketBeat: Allegiant Q2 2026 earnings call highlights
- **DAL**: RTTNews: Delta drops on cautious Q4 view after weak Q3
- **DAL**: View from the Wing: Delta made more profit on lower sales
- **DAL**: 24/7 Wall St: airline stocks rise as oil eases (Oct 20)
- **LUV**: Quartr: Southwest Q3 2026 earnings summary
- **LUV**: TravelExtra: Southwest cuts 2026 profit guidance as fuel rises
- **LUV**: Bernama: U.S. airline Q3 2026 results
- **ALK**: Alaska Air Group reports Q3 2026 results
- **ALK**: Alaska Air Group reports Q2 2026 results
- **ALK**: Earnings Whispers: ALK Q3 2026 call transcript
- **AAL**: American Airlines Q3 2026 earnings release (SEC 8-K)
- **AAL**: 24/7 Wall St: AAL Q3 2026, record revenue swamped by fuel
- **ULCC**: Frontier Q3 2026 earnings release (SEC 8-K)
- **ULCC**: Airways: Frontier Q3 2026 revenue, Spirit tailwind
- **ULCC**: Axios: Frontier faces the pressures that destroyed Spirit
- **JBLU**: JetBlue Q3 2026 earnings release (SEC 8-K)
- **JBLU**: Airways: JetBlue Q3 2026 loss as fuel costs rise
- **JBLU**: MarketScreener: fuel bill may upend JetBlue's return to profit

PROMPTS (PLAIN ENGLISH, EDITABLE IN PROMPTS/)

one_pager.md: "Write the qualitative half of a one-page summary… use [the live data], do not contradict it, and do not invent any other numbers… search the web for this company's most recent quarterly earnings release… Return ONLY a JSON object…"

long_short.md: "Pick the single best LONG and the single best SHORT… Start from the quantitative screen, but you may override it if the qualitative evidence justifies that… For the short, address crowding, squeeze risk, and borrow…"

LIMITATIONS

- Yahoo Finance can lag new filings by days. Each page footer shows the latest quarter in the data.
- Airline-specific KPIs (CASM-ex, RASM, load factor) are not in free data feeds, so they appear only where the AI cites a filing.
- For educational use only, not investment advice.